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All right, so my name is Alec Schwanke. My project asked whether a fund with no position should initiate a buy in Apple. I recommend buy and I changed my evaluation date recently from October 25, October 2025 31st to September 14th, 2026 because Apple recently announced an AI enabled series or Siri.

Alexander James Schwanke 0 minutes 43 seconds

which supported my result thesis that to buy Apple, this announcement increased their stock by about $15. And so after this, I refresh all of my inputs.

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So, this is my code and validation walkthrough for Apple value as of September 14th, 2026. This page shows selected historical filing and post agreement. The definitions and dates. The financial base is trailing 12 months through June 27th, 2026.

Alexander James Schwanke 0 minutes 26 seconds

So senior 2025 plus the current nine months minus prior nine months. June balances are disclosed open proxies filing for actualization judgment for pass and model outputs are kept separate.

Alexander James Schwanke 0 minutes 46 seconds

Operating forecast code, very long. Category growth and margins produce revenue and growth profit, research and selling cost produce operating income, working capital and investment connect earnings to cash flow, forecast rolls cash.

Alexander James Schwanke 1 minute 6 seconds

Um, forecast rolls cash through operating, investing, and financing flows and rolls equity through earnings and distributions.

Alexander James Schwanke 1 minute 18 seconds

The check row function rejects a broken balance sheet, cash mismatch, or inconsistent FCFF bridge. The initial refresh omitted a separately presentable, it presented a tangible asset line. The balance check failed and the filing supplied the missing line. The correction was explicit rather.

Alexander James Schwanke 1 minute 37 seconds

Then, just uh, being an honestly, balancing plug, uh, now.

Alexander James Schwanke 1 minute 43 seconds

Here.

Alexander James Schwanke 1 minute 48 seconds

So the valuation function discounts, the valuation functions discount 5 operating cash flow periods. Terminal growth requires reinvestment at an assumed incremental return on capital. The enterprise to equity bridge adds non-operating liquid assets after an operating reserve, subtracts debt and divides by the share account proxy.

Alexander James Schwanke 2 minutes 8 seconds

Stock compensation remains in economic cost. A separate duration test keeps the five, keeps the first five operating periods fixed and varies the length of the growth fade. That persistent assumption needs economic evidence. So real quick, I will run the test suite.

Alexander James Schwanke 2 minutes 27 seconds

No.

Alexander James Schwanke 2 minutes 29 seconds

Yes, you.

Alexander James Schwanke 2 minutes 36 seconds

One second.

Alexander James Schwanke 2 minutes 46 seconds

All the tests are ran. And so the output shows all 17 tests passed. The suite check course training answers, source boundary, historical reconciliation, forecast articulation, injective failures, valuation, boundaries and direction, the bridge, peers and reverse, GCF.

Alexander James Schwanke 3 minutes 5 seconds

A separate cold log, cold run log records a fresh, isolated environment that reproduces the included results. These checks support the arithmetic and accounting, not the success of Apple's AI strategy. OK, so to this PDF.

Alexander James Schwanke 3 minutes 30 seconds

So, here's my original prediction, and it's pre-run. I chose to increase annual SEFF growth from point or 0.57% to 1% in each of the five explicit years. I expected valuation to rise perhaps by 1 1/2 or 1 1/2% and expected to retain buy. This actually is used the original historical DECF.

Alexander James Schwanke 3 minutes 50 seconds

It did not replace the current operating driven forecast. The records separate my prediction from assistant execution does not invent and like made-up.

Alexander James Schwanke 4 minutes 6 seconds

So the actual value rose from 90.66 to 92.33, approximately A 1.84% increase. My direction was correct, but my magnitude was off a little bit. My explanation was I didn't really do the math before. I still recommend buy. And

Alexander James Schwanke 4 minutes 27 seconds

This was only 0.43 percentage points while terminal growth in wax stayed fixed. The records preserve the difference between my prediction and result, the model's technical validity, and my final investment judgments are distinct. I remain responsible for my assumptions and my recommendation.

Alexander James Schwanke 4 minutes 45 seconds

Thank you.

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So my recommendation is to initiate a buy for Apple, going from a thumb that holds.

Alexander James Schwanke 0 minutes 16 seconds

Today is September 14th, 2026 with a three to five year investment horizon. Values are expressed in the US dollars per common share. Historical closing price is $333. My core TCF range is approximately 73 to 254 with $147 difference. My recommendation is more bullish.

Alexander James Schwanke 0 minutes 37 seconds

in the core range and I'll explain my condition behind it.

Alexander James Schwanke 0 minutes 45 seconds

This is that useful Apple intelligence features, like their recently announced AI enabled Siri, could encourage device upgrades, premium mix, and ecosystem retention. Just challenged, my partner challenged whether the Siri might just be another AI buzzword without real utility.

Alexander James Schwanke 1 minute 4 seconds

So product announcement alone is not sufficient to base an investment thesis. The base forecast starts iPhone growth at 10%, fading to 6, and services growth at 40%, fading to 10. It includes research spending at 10% and property investment at 4% of sales. These operating assumptions flow through the link statements into

Alexander James Schwanke 1 minute 24 seconds

the SFCFF, they are analyst assumptions, not Apple guidance. The balance sheet and cash flow must reconcile in every forecast period.

Alexander James Schwanke 1 minute 41 seconds

All right, yeah, here. So the bridge starts with enterprise value, adds non-operating liquid assets after an operating cash reserve, subtracts interest bearing debt and divides by the disclosed diluted share proxy, cash debt and shares use dated published information rather than invented September balances. The reserve.

Alexander James Schwanke 2 minutes

Reverse BCF also shows how demanding the market price is relative to the already growing base forecast.

Alexander James Schwanke 2 minutes 9 seconds

So here I can change the WAC or the terminal growth to see how that would affect. So I'll try increasing the WAC to by.

Alexander James Schwanke 2 minutes 24 seconds

Say, 1% increase, so...

Alexander James Schwanke 2 minutes 42 seconds

Approximately 10.72% whack, the exploratory value falls to about $129 per share. Higher required return reduces the present value of the same. So let's go back.

Alexander James Schwanke 2 minutes 56 seconds

Right there. Yeah. So the restoring the original WAC returns the value to approximately $147 a share. This demonstrates sensitivity does not establish whether the discount rate is economically correct. That terminal growth could be completely off. That is just an estimation. All right.

Alexander James Schwanke 3 minutes 18 seconds

So the stronger five-year operating pace alone produces about $254 a share. Adding longer growth rate produces approximately $286 to $350. The upper reference requires 15 additional failures after the first five, embedding roughly A 20-year economic runway and high returns on new investment.

Alexander James Schwanke 3 minutes 38 seconds

That demanding persistence assumption is central to my bullish judgment. There are conditional valuation regimes, not a confidence entering.

Alexander James Schwanke 3 minutes 48 seconds

So.

Alexander James Schwanke 3 minutes 50 seconds

Microsoft and Google. Pure enterprise value to value or value to operating income references are approximately 257 to $300. Different business mixes, investment needs, and earnings definition explain part of the disagreement. I cannot mechanically agree or average method methods.

Alexander James Schwanke 4 minutes 9 seconds

Sorry. The combined structural downside is approximately $61. I would reconsider initiation if disappointing AI utility produced weak incremental upgrades or retention, or if investment failed to convert into cash flow. The Ring Defense also proposes service growth and margin review thresholds.

Alexander James Schwanke 4 minutes 28 seconds

It's here.

Alexander James Schwanke 4 minutes 30 seconds

And...

Alexander James Schwanke 4 minutes 34 seconds

I explicitly accept initiation at 300 and thirty-three dollars and eight cents. It's currently around 340. Alright, last I looked.

Alexander James Schwanke 4 minutes 45 seconds

Yes, gone up the last couple hours. That, so I still agree with a buy. That requires approximately $349.73 of current value. The standard high case of $350 narrowly beats it. This is not a 5% annual expected return.

Alexander James Schwanke 5 minutes 4 seconds

and it provides no separate cushion to core value. My committee asked.

Alexander James Schwanke 5 minutes 10 seconds

My committee ask is to initiate with the demanding growth persistence thesis and downside asymmetry explicit. I retain by while acknowledging that the core model does not demonstrate a protected expected return. The assumptions and final judgment are still mine. I still buy. Thank you.